Recommendations on UNCA Salaries

UNCA Compensation Committee

Feb 2 2023

Background

UNCA has been underfunded for at least a decade. With respect to salaries, there were no campus wide salary increases at all for Academic Years 2019/20 or 2020/21. The so-called cost of living adjustments we have received have actually been far outpaced by inflation. The results have been a neglect of our infrastructure and the flatlining of salary growth for both faculty and staff. Staff have been particularly affected, since so many vacancies have gone unfilled across campus contributing to staff workloads to help balance the budget due to funding constraints.

We clearly see the impact of all this on the retention of students and employees, as well as a general dissatisfaction that's clearly indicated in surveys. Our outgoing CFO John Pierce has outlined the financial realities quite clearly and presented his conclusions to many groups across campus. His presentation is one of several that have detailed these problems and backed his conclusions up with data:

- John Pierce's presentation - Fall 2022
- Informal working group petition - Spring 2022
- Mark McClure's interactive look - Spring 2022

It is certainly the case that all schools across the UNC System are experiencing similar problems. The problems are particularly acute at UNCA, however, due to the combination of relatively low pay and very high cost of living. Figure 1, for example, shows that UNCA average salary is dead last in the UNC System, when adjusted by cost of living.

In response to this crisis, UNCA Faculty Senate formed a new Compensation Committee to explore the implications for faculty and staff salaries in particular, and to make recommendations to attempt to improve the situation.

The Committee membership consists of:

- Mark McClure (Professor of Mathematics and Chair)
- Judith Beck (Senior Lecturer of Physics)

- Robert Bell (Director of the Writing Center)
- Gary Ettari (Associate Professor of Literature)
- Melissa Mahoney (Associate Professor of Economics)
- Sophia Ungert (Executive Director, Family Business Forum)

We received significant input from our ex-officio members:

- Kimberly van Noort (Interim Provost)
- Jaime Head (Associate Director of Classification/Compensation and HRIS)
- John Liposchak (Budget Director and interim CFO)
- Jeff Konz (Director of Institutional Research)

Overview of our recommendations

There are two key components to our recommendations:

1. We believe that the revitalization plan, as outlined under the leadership of Chancellor Nancy Cable has many positive aspects that should still be major components of our path to financial viability. One serious issue with the revitalization plan, however, is the lack of up front investment in current resources - *human* resources, in particular.
2. In spite of of our support of the revitalization plan, we also believe that the State of North Carolina has *not* funded the University appropriately. Simply put, we must have better support from the State. We should support all efforts to solicit better financial support from the state.

Detailed analysis

The revitalization plan

UNCA's "revitalization plan" refers to a specific strategy outlined under the leadership of Nancy Cable whose purpose is to improve UNCA's financial viability. The plan was presented on December 19, 2019 to the UNC System by Chancellor Cable, Provost Kai Campbell, and CFO John Pierce. That presentation is available as a video narrative of the slides here:

> https://sites.google.com/unca.edu/revitalization/presentation

Notably, all three of those members from our senior leadership have either left UNCA or will leave in the near future, exacerbating one of the serious challenges they outline in the presentation - namely, a lack of continuity in leadership. Clearly, two desirable qualities in potential candidates for these positions would be:

- A demonstrated ability to improve fiscal capacity in the University context and
- A commitment to stay at UNCA for a reasonable duration.

Details of the plan

The key components of the revitalization plan include a number of efforts to diversify our revenue stream such as:

- A comprehensive campaign to attract philanthropy,
- Expansion of Summer programs,
- Investment in student success,
- Enrollment growth,
- Strengthened partnerships,
- Masters Programs, and
- Potential designation as a Millenial Campus.

Requests to support the plan

To conclude their presentation to the UNC System, our leaders made several specific requests. Notably, they requested $15 million in increased annual funding for their initiatives. John Pierce has indicated in his outline of our current financial status that the request was actually $15 million per year, including funds for stabilization of current salaries. As it turns out, we did receive $7 million in increased funding from the state for the initiatives but *none* for salary stabilization.

Our assessment

From a purely fiscal standpoint, everything in the revitalization plan makes perfect sense. Some of it (like expanded philanthropy and investment in student success) would clearly support our educational mission directly. Other parts (like expanded summer programs and strengthened partnerships) could certainly diversify our revenue streams while with minimal impact on our mission. Some enrollment growth, too, would be reasonable. It's not clear, though, how consistent too much growth and more Masters Programs would be with our mission, which is currently in flux. More generally, we need to be mindful of the impact the revitalization plan might have on our educational mission.

By far the biggest problem with the revitalization plan, as currently implemented though, is the lack of investment in current resources. While the new initiatives in the plan are largely good ideas, we cannot expect improvements in student success when faculty and (especially) staff are seriously overworked due to unfilled positions while being grossly underpaid. *We cannot possibly overstate our disappointment in the lack of support of financing salary stabilization.*

State funding

John Pierce's presentation (linked above) makes a compelling case that the State of North Carolina simply has not funded UNCA properly. Key points from his presentation include:

- Slide 4: Relative to the average funding of our BOG peers, UNCA is underfunded by 19% or nearly $23 million per year. The problem has been getting worse since 2013, as our funding has been relatively flat since then.
- Slide 7: Relative to other small UNC System schools, UNCA is underfunded by over $30 million per year.
- Slide 9: Only UNC Pembroke has an average employee salary lower than UNC Asheville.
- Slide 10: The Cost of Living, though, is very high in Asheville.

In John's own words:

- To describe our current level of funding: "You can't buy a diamond with $50."
- To describe the neglect of our current resources (infrastructure and employees): "You can't build a skyscraper on sand."

Recommendations

We make the following recommendations

To UNCA senior leadership (whoever you are):

1. Facilitate the finalization of the Mission Statement and the rebranding process. It's hard to attract students and investment without a well defined mission.
2. Work with other UNC System schools, most of which are also underfunded to varying degrees. While the problems are exacerbated by the cost of living here, it would still be valuable to amplify our voice by joining with others.
3. Advocate up to the UNC System and NC State Legislature as much as possible. Advocate for our University, students, *and* employees, without shying away from the severity of our problems. Make all your work and your stance crystal clear to the campus community. Be blunt and direct with your superiors in the System and State in efforts to obtain direct funds for salary stabilization as soon as possible.

Finally, the committee must express our extreme frustration with the fact that we don't see real help on these matters in the near term. The reality is that this is largely a political problem in a state so gridlocked that the legislature passed no budget at all for two years. Even the recent 3.5% statewide cost of living adjustment represented a pay *cut* relative to inflation. Anyone working in senior leadership at UNCA must understand these realities.

To UNCA employees:

1. Embrace the revitalization plan. If there are aspects you're uncomfortable with, that's understandable, but there's certainly plenty of good to support.
2. Most specifically, support student success, retention, and recruitment. Whether we grow significantly or not, it will certainly help to have happy and successful students.
3. Respect and go easy on one another. To faculty, in particular, understand that these problems have affected staff to an even greater degree, because they are generally paid less and are overworked more, since so many vacancies have gone unfilled.
4. We too need to advocate up the chain. For us, that might mean direct work with the system or state. This largely means supporting our own leaders here in Asheville but also holding them accountable when necessary.

The near future

Unfortunately, these are all part of a long term solution. We hope there are some things that can help in the shorter term, like:

1. Whenever appropriate, redirect some of the new funds to current employees in the form of stipends or bonuses - *now*, rather than later. We are the ones, after all, who will implement those new initiatives. New work should come with incentives.
2. Consider other forms of compensation, such as:

- release time for both faculty and staff,
- tuition credits for dependents,
- discounts toward parking,
- discounts for food on campus,
- shifting towards 4-day work-week.

3. Work to create a culture of appreciation here on campus.

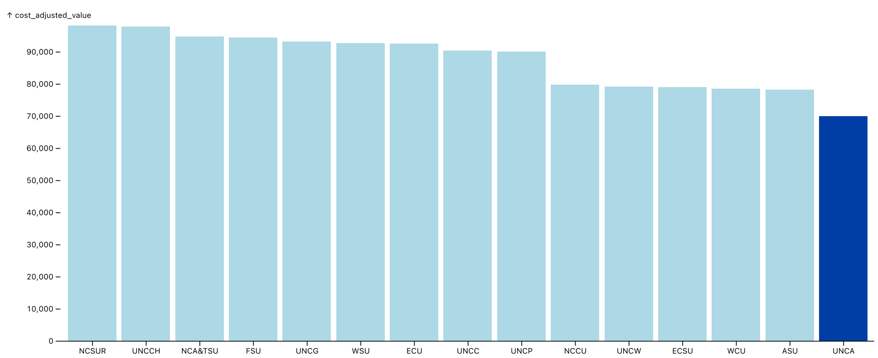

Figure 1: Average salaries across the UNC System adjusted by cost of living